



STRATHMORE EDUCATIONAL TRUST
STAFF PROVIDENT FUND

STRATHMORE EDUCATIONAL TRUST STAFF PROVIDENT FUND

**STRATEGIC PLAN
2025 - 2030**

Vision:

"Safeguarding members' retirement by promoting financial freedom."

Mission:

"Preserving and transforming members' retirement through prudent investment and fostering financial independence."

Core Values:

Collegiality

Service

Integrity

Innovation

Excellence

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LIST OF ABBREVIATIONS

AFIC: Administration, Finance and Administration Committee

AGM: Annual General Meeting

ARBS: Association of Retirement Benefits Scheme

APTAK: Association of Pension Trustees and Administrators of Kenya

AUM: Asset Under Management

AVCs: Additional Voluntary Contribution(s)

BCP: Business Continuity Plan

Bn: Billion

BoT : Board of Trustees

CBK: Central Bank of Kenya

CMA: Capital Markets Authority

CAR: Communication, Administration and Risk Committee

DC: Defined Contributions

ESG : Environmental, Social and Governance

FIAR: Finance, Investment, Audit and Risk Committee

GDP: Gross Domestic Product

ICT : Information Communication Technology

IPS : Investment Policy Statement

KES : Kenyan Shilling(s)

KRA: Kenya Revenue Authority

M&E: Monitoring and Evaluation

NSSF: National Social Security Fund

ODPC: Office of Data Protection Commissioner

PF: Provident Fund

PPP : Public-Private Partnerships

RBA: Retirement Benefits Authority

REIT: Real Estate Investment Trust

ROI : Return on Investment

SLA : Service Level Agreements

SERT: Strathmore Educational Trust, Registered Trustees

SETSPF: Strathmore Educational Trust Staff Provident Fund

TD&R: Trust Deed and Rules

Trn: Trillion

TNA: Training Needs Analysis

UFAA: Unclaimed Financial Assets Authority

US: United States

USD: United States Dollars

YoY : Year on Year

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DEFINITIONS

Active members - these are persons for whom contributions have been remitted during the reporting period

Deferred members - these are persons who have left leaving service and have completed the claim form to indicate whether they wish to withdraw part or leave 100% of the accrued benefits in the PF.

Defined Contribution (DC) Fund - the contribution structure of this Fund is prescribed in the Trust Deed and Rules of the Fund and the Member and not the Sponsor/Employer bears the risk of any shortfall as part of the funding policy.

Dormant members - these are members for whom contributions have not been remitted during the reporting period. This could arise on leaving service without completing claim form to indicate whether they wish to withdraw part or leave 100% of the accrued benefits in the PF. Also, this category may represent persons who have not received a salary e.g., a disciplinary case but on reinstatement would then resume active members status. This category is transient in nature.

Income Draw Down – This is an arrangement that allows a retiree to keep their pension savings invested while gradually withdrawing income from the fund, rather than converting the entire amount into an annuity at retirement.

Income Replacement Ratio – This is a measure of how much of one's final salary will be replaced by the 'equivalent' pension/annuity amount.

Individual Trustee – these are individuals who collectively manage the trust into which the Fund assets are held on behalf of beneficiaries. They are held jointly and individually liable for the decisions that they take on behalf

of members, and are required to exercise duty of care in all decisions.

Member Elected Trustee – these are persons who are elected through a transparent process by the members of the Fund.

Post-Retirement Medical Fund (PRMF) - a dedicated financial arrangement established to accumulate and invest resources, with the purpose of financing medical expenses after retirement, thereby mitigating the financial burden of healthcare in later life and promoting retirees' wellbeing.

Sponsor Nominated Trustee – these are persons who are nominated by the Sponsor to represent the Employer/Sponsor.

CHAIR'S FOREWORD

This Strategic Plan for Strathmore Educational Trust Staff Provident Fund builds on the foundation of strengthened governance and operational resilience. Over the last three years, the Board of Trustees (BoT), was deliberate in ensuring foundation is right place and in this planning phase we are reflecting our commitment to continuous growth and improvement.

The development of this Strategic Plan has been a collaborative effort, bringing together the insights and expertise of our Trustees, members, and key stakeholders. I would like to acknowledge the invaluable contributions Trustees and the Secretariat team listed below:

Table 1: Secretariat and Trustees' team

Name	Role	Nomination
Dr. Freshia Mugo-Waweru	Chairperson	Sponsor Nominated
Mr. Simon Munyui	Trustee	Sponsor Nominated
Mr. Caleb K. Chebon	Trustee	Sponsor Nominated
Mr. Lawrence Nganga	Trustee	Member Elected
Mr. Timothy Mutai	Trustee	Member Elected
Mr. Raphael Karanja	Trustee	Member Elected
Ms. Naomi-May Mwangi	Trustee	Member Elected
Mr. Stephen James Odhiambo	Trust Secretary	—
Ms. Mercy Muchungu	Liaison Officer	—

Their dedication and vision have been instrumental in shaping a roadmap that prioritizes governance excellence, member engagement, sustainability, and investment. This Strategic Plan considers also the dynamic economic and regulatory environment in which the Fund operates, to ensure that we

remain adaptive and resilient.

Our mission: Preserving and transforming members' retirement through prudent investment and fostering financial independence.

I would also like to extend my gratitude to other stakeholders who actively participated and contributed to the development of this plan, including and not limited to our members, sponsors, service providers among others. Your collective input and dedication have been vital to its success.

Together, we look forward to executing this roadmap and achieving our shared vision for a robust and resilient pension Fund.

Signed for and on behalf of

Strathmore Educational Trust Staff Provident Fund

Dr. Freshia Mugo-Waweru Chairperson

August, 2025

1.0: INTRODUCTION

The strategic plan for the Strathmore Educational Trust Staff Provident Fund ("SETSPF" or "the Fund") for 2025-2030 builds upon the foundation, integrates lessons learned, responds to a dynamic macroeconomic environment, and aligns with emerging trends in pension Fund management.

This Strategic Plan for the Fund; outlines a vision for growth and development over the next five years – beginning September 2025. This time frame allows for a strategic focus on achieving both the short-term goals and long-term ambitions.

Central to the successful execution of the Strategic Plan is a detailed implementation matrix. The implementation matrix, attached as an appendix on the document, is a roadmap, clearly assignment of responsibilities, timelines and milestones to guide the successful execution of the strategic plan.

1.1: Vision, Mission, and Core Values

Vision: Safeguarding members' retirement by promoting financial freedom.

Mission: Preserving and transforming members' retirement through prudent investment and fostering financial independence.

Core Values:

- ***Collegiality-*** Board Members respect one another's commitment to a common purpose of serving members and work together to meet the needs of members and beneficiaries
- ***Service:*** We exist to serve - placing the welfare of members and beneficiaries above self-interest and working towards collective good with humility and care.

- ***Integrity:*** *We uphold honesty, straightforwardness, and openness in all our dealings - earning the trust of our members, Sponsor, and stakeholders.*
- ***Innovation:*** *We embrace creativity, openness to new ideas and service excellence to deliver value and improve the member experience.*
- ***Excellence:*** *We are dedicated to fulfilling our obligations with consistency, focus, and a long-term view — always acting in the best interest of our members.*

2.0: BACKGROUND OF THE FUND

The Strathmore Educational Trust Staff Provident Fund (“SETSPF” or “the Fund”) was established by the Strathmore Educational Trust, Registered Trustees (SERT) and became operational on January 1, 1990. Its purpose is to provide sustainable retirement and related benefits to employees of the Sponsor related institutions and their dependents.

The Sponsor related institutions under SERT currently include:

- *Strathmore University*
- *Strathmore School*
- *Eastlands College of Technology*
- *Strathmore Educational Trust Registered Trustees*
- *Strathmore Research and Consultancy Center (SRCC)*
- *Imara Educational Foundation*

The Fund is a defined contribution (DC) provident fund, which means members are paid lump sum benefits. On exit, the members receive the full balance of their contributions and accrued investment returns upon retirement, which they may withdraw, use to purchase an annuity, or transfer into an Income Draw Down fund according to personal preference.

Governance is by a Board of Trustees (BoT) representing both members and Sponsor, with operations supported by the Secretariat. Further, the Fund is regulated by the Retirement Benefits Authority (RBA), and is registered with the Kenya Revenue Authority, and remains compliant with all applicable legislation.

Since its establishment, the SETSPF has grown in terms of membership, Assets Under Management (AUM), and operational capacity. Over the years, the Fund has also adapted to evolving regulatory requirements and

market dynamics, ensuring compliance and alignment with best industry practices.

2.1: Membership Trend: Active, Deferred, and Total Members

The following chart shows the current count of active, deferred, and total membership of the Fund.

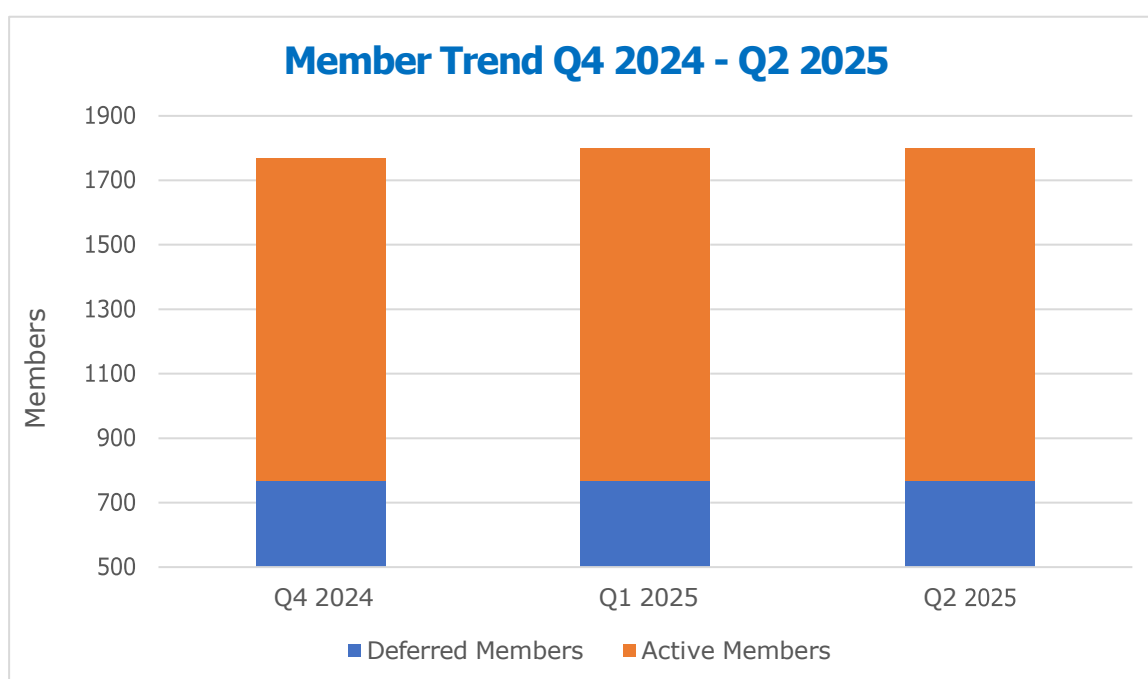


Figure 1: Member Trend between Q4 2024 & Q2 2025

2.1.1: Fund Member Trends Q4 2024 to Q2 2025

- *Total Members: Increased from 1,770 (Dec 2024) to 1,800 (Jun 2025)*
- *Active Members: Grew from 1,000 (Dec 2024) to 1,030 (Mar 2025 and Jun 2025)*
- *Deferred Members: Stable at around 770 during this period.*

2.2: Assets under management

The Fund's asset categories show steady growth, with Net Assets rising from KES2.45Bn to KES2.69Bn, with the allocation of assets being

segregated mandates and guaranteed funds.

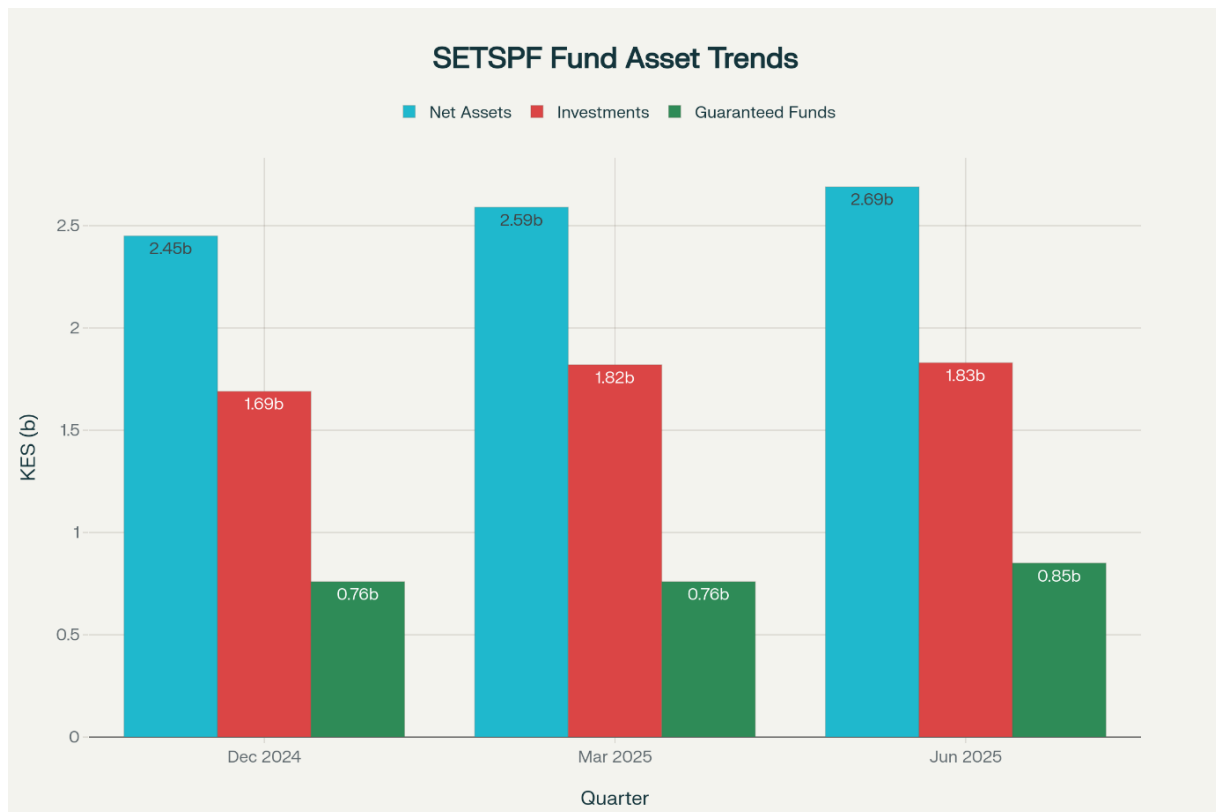


Figure 2: Fund Asset Trends for Net Assets, Investments & Guaranteed Funds

The Fund continues to benefit from a robust governance structure, experienced BoT, and consistently positive financial audits. However, internal weaknesses remain around digital member engagement, slow multi-sponsor decision cycles, concentrated asset allocations, and resource capacity constraints within the secretariat.

3.0: SITUATIONAL AND MACRO-ECONOMIC ANALYSIS.

3.1: Macro-Economic Overview

The macro-economic outlook provides a detailed perspective on global and domestic trends, their impact on investments, and the strategic actions required for sustained performance.

3.1.1: Global Outlook

The global economy in 2025 is projected to grow at a slower pace, with the IMF forecasting global GDP growth at 2.8% and the World Bank at 2.3%, down from 3.3% in 2024. This moderation reflects tighter monetary conditions, persistent geopolitical tensions, and evolving trade policies. Emerging and developing markets are projected to grow at 3.7% in 2025, down from 4.3% in 2024, as advanced economies also decelerate.

United States: The U.S. economy remains resilient, supported by a strong labor market and steady consumer spending. However, high interest rates and fiscal tightening are expected to slow expansion. Federal Reserve rate decisions will influence global liquidity and capital flows, directly affecting offshore investment returns.

United Kingdom: The U.K. is expected to see slow but stable growth, with inflation easing but cost-of-living pressures persisting. Interest rates are likely to remain elevated in the near term before gradually declining, impacting gilt yields and corporate earnings.

China: China's economy is undergoing a slower-than-expected recovery, weighed down by weak consumer spending, a cooling property market, and softer export growth. As Kenya's largest bilateral lender—holding KSh 880 billion in debt as of June 2023—China's fiscal health also has direct implications for Kenya's external debt servicing.

These three economies are critical for the Fund's offshore portfolio diversification. Currency movements, equity market volatility, and interest rate changes in these markets directly affect asset valuations and returns. Monitoring U.S. monetary policy, U.K. inflation and rate trends, and China's demand and debt profile will inform tactical allocation and risk management by the fund manager.

3.1.2: Kenya's Economic Outlook

GDP Growth: Kenya's economy grew by 4.9% in Q1 2025, holding steady year-on-year. Leading sectors included agriculture (+6.0%) and information & communication (+5.8%). The CBK forecasts full-year GDP growth of 5.4%, supported by services, agriculture, improved private sector credit flow, and export performance. Stable GDP growth supports domestic investment opportunities, especially in equities and real estate, while sectoral resilience underpins earnings for companies in the Fund's portfolio.

Inflation: Average inflation in H1 2025 eased to 3.7%, down from 5.6% in H1 2024, due to lower food and fuel prices and CBK interventions.

Inflation is expected to remain within the CBK's 2.5%–7.5% band.

Controlled inflation protects members' real returns and reduces the erosion of purchasing power, though continued monitoring is needed for energy and food price shocks.

Monetary Policy & Interest Rates: The CBK reduced the Central Bank Rate by 150 basis points (from 11.25% in Dec 2024 to 9.75% in Jun 2025). T-bill yields have declined: 91-day at 8.14% (down from 15.97%), 182-day at 8.44%, and 364-day at 9.72%. The yield curve has declined across all tenors, reflecting improved liquidity and controlled inflation. With 80% of the Fund's portfolio in fixed income, falling yields reduce reinvestment income, making diversification into higher-yielding and alternative assets essential.

The Kenya shilling remained generally stable in H1 2025, appreciating marginally against the USD. This stability was underpinned by forex reserves of USD 9.8B (4.7 months of import cover) and a 5.8% rise in diaspora remittances. Currency stability moderates FX risk on offshore assets but requires active hedging to protect against sudden volatility.

Public debt stood at 66.6% of GDP in Sept 2024, with one-third of the national budget allocated to domestic debt servicing. Fiscal consolidation efforts continue, but high debt levels limit policy flexibility. Strategic relevance: Elevated debt may affect interest rate trends and the stability of government securities which represent the bulk holdings for the Fund.

Capital Markets: The NSE 20, NASI, and NSE 25 rose 21.4%, 24.2%, and 15.7% respectively in H1 2025, with improved volumes. Bond market turnover increased 62% year-on-year to KES 1.25 trillion. Equity gains present opportunities for capital appreciation, but volatility remains a concern; fixed-income turnover indicates healthy liquidity but at lower yields.

In summary, the macroeconomic climate entering the 2025–2030 planning period is characterized by decelerating growth, easing inflation, lower interest rates, and ongoing fiscal pressure. Effective execution of the strategic plan—especially in investment diversification and operational resilience—will be essential for the Fund to fulfill its mission.

3.2: External Environment (PESTEL):

The PESTEL framework evaluates external factors influencing SETSPF operational environment. Each aspect highlights challenges and opportunities critical to strategic alignment.

Area	Current Status	Impact	Direction	Recommendations for the Plan
Political	Ongoing political protests, unrest, and abductions have raised human rights concerns, with additional geopolitical and policy risks such as trade tariffs, regional instability, and corruption. Frequent policy shifts accompanying changes in regime continue to affect the pension environment, creating uncertainty for long-term planning.	High	Increasing	■ Maintain proactive engagement with regulators and industry bodies, and ensure flexibility in Fund policies so they can adapt quickly to evolving political and regulatory environments.
Economic	Micro and macroeconomic fluctuations are impacting markets, with high taxation, cross-border tariffs, and	Neutral	Increasing	■ Diversify investments to reduce exposure to high-risk economic sectors, and monitor macroeconomic trends to adjust the Investment Policy Statement (IPS) when needed.

Area	Current Status	Impact	Direction	Recommendations for the Plan
	limited stock market activity. There is an overreliance on foreign investors, and while government default risks have been managed, they remain a concern due to Eurobond exposure. Rising taxation, housing levies, and other deductions are reducing members' disposable income and affecting their ability to save.			• Strengthen member education to promote savings discipline despite reduced disposable income. • Advocate for pension-friendly policies through research white papers, and other engagements with industry.

Social	Intergenerational conflict, misinformation spread via social media, and limited understanding of product returns and comparability are creating engagement challenges. While higher statutory deductions reduce the level of disposable income, black tax” and dependency pressures, further affect members’	Neutral	Increasing	• Tailor communication strategies to address misinformation and improve financial literacy and incorporate intergenerational needs into engagement plans. • Promote flexible contribution options to accommodate varying member circumstances and consider products and approaches that address longevity risk
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Area	Current Status	Impact	Direction	Recommendations for the Plan
	ability to save consistently. Demographic shifts, including younger members with and with increased longevity there are increasing members aged over 80 years, so engagement plans need to be flexible.			

Technology	Rapid advances in AI, machine learning, and other technologies are changing how members expect services to be delivered. There is a need for agility in adopting new technologies to improve processes such as AGMs, document handling, and member access, while managing technology-related risks such as cybersecurity threats that could lead to loss of funds or data breaches.	High	Increasing	• Adopt relevant technologies to optimize fund processes and enhance service delivery, strengthen cybersecurity measures and incident response protocols. • Improve member access to information via secure and user-friendly platforms. • Provide training for staff and Trustees on emerging technologies and their implications.
Environmental	There is growing emphasis on investing in	Neutral	Increasing	• Integrate environmental, social,

Area	Current Status	Impact	Direction	Recommendations for the Plan
	companies operating in the green economy or with strong sustainability disclosures. While efforts to reduce paper use in Fund processes are commendable, they represent just one sustainability opportunity. The Secretariat should assess other areas to further embed sustainable practices in its operations			and governance (ESG) factors into the investment policy, and promote environmental awareness in Fund operations. • Implement robust digital document management systems that meet retention and legal standards.

Legal	Frequent legal changes are increasing compliance costs and at times, laws are passed without clear frameworks for implementation, as seen with recalled mortgage legislation. Litigation risks are increasing due to higher member awareness and pro-employee labour laws. Strong pension regulations and regulator support	High	Increasing	• Maintain continuous legal monitoring and compliance audits to keep abreast with developments. • Engage with policymakers to ensure laws align with pension sector needs, including participating in industry associations. • Educate members on the impact of legal changes on benefits and contributions • Develop litigation readiness and dispute resolution mechanisms. • Assess the strategic implications of the NSSF opt-out provisions.
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Area	Current Status	Impact	Direction	Recommendations for the Plan
	remain, although NSSF changes may not favour private pensions growth.			

Table 2: PESTEL Analysis

3.3: Internal Analysis – Strengths, Weaknesses, Opportunities and Threats (SWOT):

SWOT analysis provides a comprehensive overview of the Fund’s internal capabilities and challenges, alongside external opportunities and risks: Ensuring that strategic priorities are well-informed and actionable.

Strengths	Description
Accountability and Transparency	The BoT operates under well-defined committee structures, ensuring accountability, transparency, and compliance with regulatory standards.
Diverse Skill Set	Trustees possess a mix of financial, legal, operational, and academic expertise, enabling informed decision-making and innovation in Fund strategy.
Clean Financial Audits	The Fund has consistently received unqualified audit opinions, reflecting strong internal controls and financial stewardship.
Timely Benefit Payments and Complaint Resolution	Members' benefits are processed promptly, and grievances are addressed efficiently, reinforcing trust and satisfaction.

Investment Policy Adherence	Regular monitoring of the IPS ensures asset allocations remain within agreed risk and return parameters.
Weaknesses	Description
Low Additional Voluntary Contributions (AVCs) Uptake	Few members make extra contributions, limiting their potential to enhance retirement benefits and Income Replacement Ratio (IRR). A targeted campaign will form part of member education programs during plan period.
Limited Member Engagement	AGM attendance and feedback participation are low, reducing opportunities to educate members and gather insights for improvement. This is a primary strategic initiative identified in planning period.
Slow Execution of Strategic initiatives	Aligning the availability of members and building consensus across multiple Sponsor institutions can lead to delays in execution of strategic initiatives. Enhanced engagement with Sponsor and advance annual work plans will be actions to help address this.
Lean Secretariat Capacity	The administrative/secretariat team is lean, and thus dependency on key personnel. Succession planning and capacity building are key initiatives.

Underutilized Digital Tools	Member portals, automated workflows, and document management systems are either not fully deployed or not widely used. The digital strategy
	including improved usage of the administrator portal will be part of the strategic initiatives.

Opportunities	Description
Investment Diversification	Shifting from heavy reliance on government securities to alternative assets can improve returns and resilience.
Post-Retirement Medical Fund (PRMF)	Introducing healthcare benefits in retirement would add value for members, this is a product that the BoT will be considering during the planning period.
Youthful Member Demographic Growth	The influx of younger employees into Sponsor institutions creates an opportunity for early financial literacy and increased lifetime contributions.
Regulatory and ESG Trends	Growing focus on responsible investment practices aligns with member values and may offer competitive differentiation. 100% regulatory compliance will continue to guide the BoT in execution of the plan.

Threats	Description
Falling Fixed-Income Yields	The current interest rate environment is reducing the returns from government securities, affecting portfolio performance.
Higher Compliance Costs	Evolving RBA, tax, and data protection requirements will increase administrative and operational expenditure. These will be factored in the annual budget, with robust procurement processes to ensure expenses remain within regulator limits.
Market Volatility and Geopolitical Risks	Global uncertainty (trade tensions, conflicts, currency fluctuations) may impact asset values and income stability. The fund manager will continue to monitor this as part of research process, to inform security selection.
Potential Member Disengagement	Low awareness or interest in Fund activities could lead to member engagement being muted. The use of emails, compete with other correspondence from the Sponsor, so need to diversify communication channels during plan period.
Multi-Sponsor Governance Complexity	Diverse sponsor priorities may slow execution of critical strategies, eroding agility in responding to market conditions.

Table 3: SWOT Analysis

3.4: Stakeholder Mapping:

The stakeholder mapping outlines the roles and expectations of all key players involved in the Fund, identify areas of potential collaboration and addressing potential gaps.

Stakeholder	Role	Expectations	Current Status
Members	Beneficiaries of the Fund	Regular updates on Fund performance, transparency in returns, and active engagement in the Fund's activities.	On-Track
Trustees	Fiduciary role as decision-makers for the Fund	Access to accurate data for informed decisions, ongoing training, and clear understanding of fiduciary roles to enhance accountability	On-Track
Sponsor	Employer(s) related institutions whose employees contribute to the Fund	Alignment with corporate goals, seamless coordination with Trustees, and ensuring sufficient and timely contributions.	On-Track
Service Providers	Administrators, custodians, and fund managers	Adherence to service-level agreements (SLAs), timeliness, and proactive communication on key performance metrics.	Room for Improvement
Regulator	Oversight body	Full compliance with legal requirements, accurate reporting, and effective	On track

		governance mechanisms.	
Broader Community	Indirect beneficiaries	Demonstrating social responsibility and ensuring the Fund's impact aligns with broader community expectations.	Room for Improvement

Table 4: Stakeholder Mapping

Key:

Significant improvement needed	Room for Improvement	On-Track

4.0: STRATEGIC PILLARS, OBJECTIVES AND SUCCESS MEASURES

The Trustees identified the following five (5) key strategic objectives to guide its initiatives over the planning period. These objectives are designed to align with emerging opportunities, address challenges, and deliver value to members.

Strategic Pillars	Strategic Objectives	Success Measures
Investments	Drive prudent investment growth for member value by optimizing long-term investment performance.	Consistent investment return of inflation +3.5%
Communication & Engagement	Improve communication to members and other stakeholders through tailored multichannel engagements	Uptake by up to >50% of members with access to real time access to member balances and information AGM attendance up 20% year on year Member education attendance up 50% year on year (target group) AVC uptake up by 20% of members
Audit, Risk & Compliance	Enhance audit, compliance, and risk management frameworks to support Fund sustainability.	100% compliance with regulations Zero repeat audit findings

Governance	Build leadership continuity and governance excellence through strengthened oversight and capacity development.	100% of all Trustees attend training (other than induction)
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Operations & Service Excellence	Strengthen secretariat and service providers effectiveness and operational efficiency	All payments within 15 days of benefit payments and
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Table 5: Strategic pillars, objectives and success measures

5.0: STRATEGIC INITIATIVES AND ACTION PLAN

The strategic initiatives and action plan outline the specific steps required to achieve the Fund's overarching objectives. By aligning these initiatives with the strategic objectives, the action plan serves as a roadmap for execution.

Key Strategic Objective	Strategic Initiative	Actions Plans
Drive prudent investment growth for member value by optimizing long-term investment performance	Expand diversification and growth strategy	Hold investment strategy forums with key stakeholders
		Explore new asset classes with fund manager - Focus on innovative asset classes
		Define growth targets and risk appetite ranges in the IPS on regular basis
		Update and implement the Asset - liability report addressing member exits and cash flow needs
	Faster investment execution and decision implementation (turn-around times)	Implementation of decisions made on investments
		Track and report on timely close of matters arising as per board resolutions
Performance monitoring	Conduct IPS review and build monitoring tools	Schedule IPS review with advisor and FIAR committee
		Track IPS compliance and performance in summary/dashboard format

		Peer review of investment performance
		Consider proposals to tap into technology to make optimal investment decisions
Improve communication to members and other stakeholders through tailored multichannel engagements	Develop and roll out structured communication execution plan	Track the execution of the communication plan and align with secretariat and service providers
		Target communication to the segments of membership - active (generational), academia vs nonacademic, etc.
		Segment and use multiple channels (e.g., SMS, WhatsApp, in-person talks) and monitor efficacy
		Tailor communication updates to each sponsor under multi-Sponsor structure
	Enhance member education initiatives and event participation	Organizing member trainings and sensitization plans forums on relevant financial and wellness topics
		Schedule open/member days across sponsors
		Encourage member education on AVCs and monitor the uptake
		Develop educational content with service providers and engage them to promote events
		Engage sponsors to co-own and promote events, working with the HR department

		Encourage BoT members to take up AVCS as they are joining board.
	Implement a system for tracking communication feedback and member engagement	Develop member-friendly investment summaries- e.g. individual IRR
		Implement an annual satisfaction survey
		Implement member complaint policy, service charter and feedback log
		Undertake survey during the annual AGMs for feedback and address member concerns and share updates.
		Regular update of beneficiaries' form
Enhance audit, compliance, and risk management frameworks to support Fund sustainability	Formalize risk register reviews with committee/board	Update existing risk register and report to board
		Include risk heatmap in quarterly board packs
		Integrate risk into the strategy meetings and reviews
		Consider paper on setting up internal audit and implement as per resolution
		Conduct a baseline governance audit and identify improvement areas.
		Evaluation of board and board committees
	Review and where appropriate broaden scope of financial audit to improve oversight to go beyond financials	Review scope of financial audit at board level to ensure strategic input included
		Review the management letter and track closure of pending audit issues

		Expand financial audit ToR to include risk and data audit, where needed
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		Document process for audit firm rotation and annual performance review
	Compliance with the Data Protection Law including registration	Consider the policies and framework for registration with DPO
		Update from Data Protection Officer on handling of member records and execute recommendations made
		Include member education on data protection rights and address question around portal and data protection for members
	Ensure 100% compliance across all laws, regulations and policies	Regular updates on legal and compliance awareness among Trustees and secretariat
		Include summary of applicable laws in board induction toolkit and track in the board compliance log
		Track compliance checklist covering RBA, KRA, DPA, etc.
		Track and align evolving laws and embed updates in operations and budgeting
	Ensure data protection, system compliance and ensure business continuity across operations	Receive update/audit the administrator portal for data protection compliance
		Clarify/test Trustee access rights and security of the portal

		Conduct member sensitization on digital access and rights to improve uptake and portal usage
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		Test and update BCPs across Board and Secretariat
	Align actuarial/administration inputs with product development	Commission actuarial review for PRMF
		Commission actuarial review for IDD
		Link actuarial insights to member communication plan and include IRR analysis in performance packs
		Receive regular insights on market developments and products in the market from the actuary/administrator
Build leadership continuity and governance excellence through strengthened oversight and capacity development	Strengthen Trustee onboarding, induction and succession plan	Review and implement the policy on Trustee term limits and staggering linking to the assessment report and succession plan
		Review onboarding toolkit to ensure induction process is robust and all information shared with new Trustees/secretariat
		Conduct at least one in-person onboarding session for new Trustees
	Capacity building and training of the BOT & secretariat with development goals	Training Needs Assessment (TNA) and Actualization of Board Training
		Attendance of conferences, seminars and other networking sessions for Trustees and secretariat

	Institutionalize board, and service provider evaluation and feedback process	Carry out a formal board evaluation tool (include self, peer, chair reviews)
		Formalize service provider evaluation process

		Develop standard evaluation template which link evaluation to contract renewal decisions and align to ToRs and SLAs
	Improve structure and timeliness of board reporting;	Standardize board reporting templates and define reporting deadlines (from service providers)
		Provide dashboard summaries with highlights and trends
Strengthen secretariat effectiveness and operational efficiency	Develop and execute HR Plan to support the strategic plan over the five years	Conduct Secretariat capacity and role mapping, and have a clear succession plan linked to organizational chart and strategic plan
		Performance evaluation
		Introduce internal workflow tools and operational manual
	Optimize expense management to minimize unnecessary spend	Enhance the budgeting process and monitoring of expenses for BoT oversight and accountability
		Adherence to the budget and budget variations and/or reallocation need BoT approval.
		Comply with overall and Trustees expense threshold prescribed by RBA.

		Timely and seamless disbursement of member claims
		Timely and seamless disbursement of service providers payments
		Review current RIMS and admin platform

	Enhance digital and record management systems	Review/audit document management gaps in the current system, and propose changes for consideration
		Develop a proposal for electronic data management system
	Operational Excellence	Explore Administrator System to build the Secretariat Capacity
		Develop Business Continuity Plans (BCPs)
		Benchmarking with peers with secretariat functions and identify areas of improvement
		Develop Policy Papers (white papers) to influence the Industry and Regulator

Table 6: Strategic Objectives, Initiatives & Actions Plans

6.0: RESOURCE ALLOCATION AND BUDGET

The Trustees have in place a disciplined approach to resource allocation and budget oversight. This enhances the Fund's ability to deliver on its promises while maintaining fiscal sustainability.

6.1: Strategic Resource Alignment

The Fund operates with an annual budget that is derived from the operational plans for the year. The Trustees review all operational expenses against the planned budgets on a regular basis. The Fund's annual budget will be structured around the five Strategic Objectives, ensuring that for each objective:

- *Planned initiatives are costed and reflected in the annual work plan.*
- *Human capacity (Trustee, Secretariat, and service provider input) is aligned to the initiative's execution needs.*
- *Technology and systems required are available*
- *Monitoring and evaluation costs are included, as appropriate.*

6.2: Financial Implications

From RBA, the actuarial and regulator target for overall administration and operation expenses that the Trustees have to maintain is up to maximum of 2% of combined fund value. Further, Trustee direct expenses are within the regulated limit of 0.1% of fund value.

While developing this Strategic Plan, the marginal cost estimates for the planned initiatives were carefully assessed to evaluate the financial feasibility of its execution. There are no assumptions made on membership and member demographics, economic changes in interest and inflation rates, changes in asset allocation or other plan assumptions.

As shown below, the marginal increase to costs is expected to be 1.35% of the current (not adjusted) market values.

Estimated marginal increase for implementation	Kshs 15,550,000
Fund value as at 30 June 2024	Kshs 2,668,112,621
% of estimated expenses to fund value	0.58%

Table 7: Marginal Incremental Expense Budget

7.0: GOVERNANCE, INVESTMENT, AND STAKEHOLDER ENGAGEMENT

A sound governance, investment, and stakeholder engagement framework is essential for the successful execution of the Strategic Plan initiatives. The BoT commits to upholding the outcomes and principles of King IV—namely ethical culture, high performance, effective control, and legitimacy—through integrated, accountable practices in keeps with their fiduciary obligation.

7.1: Governance Framework

The Board of Trustees governs in accordance with a formal Board Charter, Code of Conduct, and a comprehensive set of governance policies.

- *Ethical and Effective Leadership:* Trustees act in the best interests of members and the Fund at all times, exemplifying ethical conduct, transparency, and collective accountability. Decision-making is independent, impartial, and evidence-based, with regular declarations of conflicts of interest, and recusal from deliberations as appropriate.
- *Committee Structure:* Two (2) standing Board committees—Communication, Administration & Risk (CAR) and the Finance, Investment, Audit & Risk committees (FIAR) — provide focused oversight, delegated authority, and deepened scrutiny of operational, strategic, and compliance matters.
- *Trustee Competence and Evaluation:* A structured Trustee training and induction program is maintained to ensure collective skills, knowledge, and capacity are continually updated. Annual Board and committee performance evaluations, to be conducted to improve effectiveness, observe fit and proper standards, and meet regulatory requirements.
- *Conflict of Interest, Diversity, and Assurance:* Robust conflict of interest management is practiced, underpinned by regular disclosures and policy reviews. The Board embraces diversity, to ensure broad perspectives and resilience in decision-making.

7.2: Investment Strategy and Financial Management

The Fund's investment policy is guided by the Board's fiduciary duty to act prudently, in alignment with members' best interests, risk/return targets, and evolving sustainability requirements.

- *Portfolio Diversification: The Fund is committed to moving beyond a concentration in government bonds, progressively diversifying into alternative assets seeking to improve risk-adjusted returns while navigating a low-yield macro-environment.*
- *Portfolio Management: Fund managers are required not only to comply with the Fund's IPS but also to benchmark globally, staying attuned to major trends and opportunities for recommendation to the Trustees.*
- *Cost Efficiency and Financial Controls: Adherence to prudent fiscal management and disciplined budgeting is fundamental. The Board ensures all financial controls are fit for purpose, and annual audit is done.*

7.3: Stakeholder Engagement

The BoT to deliberately balance the legitimate and reasonable expectations of all material stakeholders, in carrying out their activities.

- **Member Communications:** Regular, clear, and multi-channel communication—including newsletters, educational webinars, online portals, and periodic feedback forums—keeps members informed about Fund developments, performance, and policy changes.
- **Feedback Mechanisms:** Two-way engagement is institutionalized via member satisfaction surveys, complaints and queries portals, and other appropriate member service functions.
- **Broader Stakeholder Outreach:** The Fund demonstrates social responsibility through targeted financial literacy initiatives, adoption of responsible investment standards in security selection, and transparent, periodic disclosures that enable stakeholders to assess performance, governance, and the Fund's broader impact.

- **Regulator Engagement:** Collaborating with regulators to ensure compliance and alignment with national pension policies. As a leading academic institution, the BoT can also collaborate with industry players to carry out research that informs policy development.

8.0: RISK MANAGEMENT

A proactive and systematic approach to risk management is central to the Fund's sustainability and member value proposition. The BoT has identified top strategic risks that could hinder successful execution and put mitigation strategies in place.

8.1: Key Strategic Risks and Mitigation Strategies

Risk	Likelihood	Consequence	Rating	Mitigation Actions	Responsibility
Liquidity issues from early fund withdrawals	Almost Certain	Major	High	Regular monitoring of member exits; engage sponsors on exit trends; maintain liquidity buffer.	AFIC
Delayed decisions due to multi-sponsor governance	Possible	Moderate	Moderate	Adopt Board decision matrix; escalate critical matters per set timelines; sponsor induction/engagement.	Board, Chairpersons
Implementing Board decisions is slow	Possible	Moderate	Moderate	Track actions via decision register; assign lead Trustee per action; monitor through dashboard.	Trust Secretary & Committee Chairs
Over-concentration in limited asset classes	Likely	Major	High	Diversify to alternatives; review IPS; conduct quarterly strategic investment sessions.	AFIC, Trustees, Fund Manager

Inter-generational member awareness gaps	Almost Certain	Moderate	High	Targeted education for younger and near-retirement groups; leverage digital platforms.	CAR Secretariat
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Poor performance of service providers	Possible	Moderate	Moderate	Implement SLA scorecard; conduct annual reviews; include penalties for underperformance.	AFIC, Secretariat
Failure to regularly update & test Business Continuity Plan (BCP)	Possible	Major	High	Annual BCP test; post-test review and update; staff training.	AFIC, Secretariat
Inadequate member data protection/compliance	Unlikely	Major	Medium	Conduct regular IT audits; upgrade portal security; Trustee/member training in data protection.	Secretariat, IT Support
Market volatility & macro shocks (inflation, FX, elections)	Likely	Major	High	Scenario analysis; dynamic asset allocation; stress-testing.	AFIC, Fund Manager
Regulatory risk & rising compliance costs	Possible	Moderate	Moderate	Proactive monitoring of regulatory updates; budget for compliance; ongoing Trustee training.	Secretariat, Board

Table 8: Key Strategic Risks and Mitigation Strategies

8.2: Risk Governance and Monitoring

- Quarterly risk register reviews are Board agenda items, with formal updates from Secretariat/Administrator.
- High rated risks are escalated to the Board for enhanced oversight,

with documented action status.

- *Regular BCP risk reviews evaluate operational resilience.*
- *Member-facing risks (e.g., complaints, data privacy) are tracked and reported to the Board.*

This structured framework ensures that risk is not only identified and ranked appropriately but also met with practical, mitigation actions.

9.0: IMPLEMENTATION AND EVALUATION PLAN

9.1: Monitoring, Evaluation, and Reporting

Effective monitoring, evaluation, and reporting mechanisms are essential to tracking execution during the planning period. The framework includes:

Aspect	Details
Key Performance Indicators (KPIs)	- Tracking progress across strategic objectives using predefined metrics. - Regularly reviewing KPIs to adapt to emerging challenges and opportunities.
Evaluation Processes	- Scheduled reviews to assess the effectiveness of strategic initiatives. - Annual reports summarizing progress, challenges, and corrective actions taken.
Reporting Mechanisms	- Transparent reporting to members, Trustees, and regulator. - Utilizing dashboards for updates on performance metrics.

Table 9: Monitoring, evaluation, and reporting mechanisms

9.2: Functional Assumptions of the Plan

The environment in which the Fund operates is dynamic and changing. The success of this Strategic Plan is based on the following assumptions:

- *The functional environment is stable for operations.*
- *Members will participate in forums organized by the Fund.*
- *The Fund will continue to comply with regulatory and legal requirements.*
- *The Fund will access the needed resources to implement the Plan.*

- *The Trustees will implement a clear communication strategy and key stakeholder engagement plan.*
- *The Trustees will continue to collaborate with various stakeholders.*

9.3: Disclaimer

This Strategic Plan is prepared to document the proposed actions and initiatives to meet the expectations of the Fund's membership. The Trustees have taken steps to ensure that information captured is as accurate as possible. However, any representations made in this document that are contrary to the Trust Deed and Rules (TD&R) are null and void. In the event of any conflict between the Strategic Plan and the TD&R, the Trust Deed and Rules will prevail over this Strategic Plan.

10.0: ADOPTION OF THE PLAN

This Strategic Plan was adopted by the Board of Trustees on the day of, 2025, and accurately reflects the discussions held during the Strategic Planning Workshop. It will be appropriately shared with all relevant stakeholders, including members, the sponsor, the regulator, and external service providers.

Signed for and on behalf of..... This day..... of 2025
Dr. Freshia Mugo-Waweru
Strathmore Educational Trust Staff Provident Fund
Chairperson.

APENDICES

Appendix 1 – Implementation Matrix & Budget Estimate

Appendix 2 - Risk Management Matrix

Appendix I - Implementation Matrix & Budget Estimate

Thematic Areas/Pillars	(3 – 5 yrs.) Key Strategic Objective (2–3 yrs)	(1 – 2 yrs.) Strategic Initiatives (1–2 yrs)	(1 year) Action Plans (1 year)	Deadline	Frequency	Target (annual)	units	Output/KPIs	Expense Budget (Marginal increase estimate)	Person tracking	Status
Investments	Drive prudent investment growth for member value by optimizing long-term investment performance	Expand diversification and growth strategy	Hold investment strategy forums with key stakeholders	Q2 & Q4	Biannually	2	forums	Number of forums held	1,000,000	AFIC	
			Explore new asset classes with fund manager - Focus on innovative asset classes	End of each quarter	Quarterly	2	presentations	4 meetings	0	AFIC	
			Define growth targets and risk appetite ranges in the IPS on regular basis	31st December	Annually	1	board paper	% growth in line with IPS & / average market returns	0	AFIC	
			Update and implement the Asset - liability report addressing member exits and cash flow needs	End of each quarter	Quarterly	4	board paper	Updated member asset/liability report & cashflow	0	AFIC	

Thematic Areas/Pillars	(3 – 5 yrs.) Key Strategic Objective (2–3 yrs)	(1 – 2 yrs.) Strategic Initiatives (1–2 yrs)	(1 year) Action Plans (1 year)	Deadline	Frequency	Target (annual)	units	Output/KPIs	Expense Budget (Marginal increase estimate)	Person tracking	Status
		Faster investment execution and decision implementation (turn-around times)	Implementation of decisions made on investments	1 month after proposal is made	As needed	1	board paper	Turnaround time -14 days after proposal by investment manager & 14 days after the board resolution	0	AFIC	
			Track and report on timely close of matters arising as per board resolutions	Quarterly	Monthly	0%	overdue matters arising	100% timely closure	0	Trust Secretary	
	Performance review & monitoring	Conduct IPS review and build monitoring tools	Schedule IPS review with advisor and investment committee	6 months to expiry of IPS	Every 3 years	1	IPS	IPS document-reviewed	250,000	AFIC	
			Track IPS compliance and performance in summary/dashboard format	End of each quarter	Quarterly	4	board report	Report that compares fund performance versus IPS benchmark	0	AFIC	

			Peer review of investment performance	End of each quarter	Annual	4	board report	Report that compares fund performance versus industry peers	0	AFIC	
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Thematic Areas/Pillars	(3 – 5 yrs.) Key Strategic Objective (2–3 yrs)	(1 – 2 yrs.) Strategic Initiatives (1–2 yrs)	(1 year) Action Plans (1 year)	Deadline	Frequency	Target (annual)	units	Output/KPIs	Expense Budget (Marginal increase estimate)	Person tracking	Status
			Consider a paper on proposals to tap into technology to make optimal investment decisions	Mid-term of plan	As needed	1	board paper	Proposal with recommendations on use of technology	0	AFIC	
Communication & Engagement	Improve communication to members and other stakeholders through tailored multichannel engagements	Develop and roll out structured communication execution plan	Track the execution of the communication plan and align with secretariat and service providers	End of each quarter	Quarterly	4	board paper	100% implementation	0	CAR	
			Target communication to the segments of membership - active (generational), academia vs nonacademic, etc.	End of each quarter	Quarterly	4	board paper	1 page - newsletter (nugget)	200,000	CAR	
			Segment and use multiple channels (e.g., SMS, WhatsApp, in-person talks) and monitor efficacy	31st December	Bi-Annually	4	board paper	No. of channels utilized	0	CAR	

			Tailor communication updates to each sponsor under multi-Sponsor structure	31st December	Annually	1	board paper	Sponsor meetings	0	CAR	
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Thematic Areas/Pillars	(3 – 5 yrs.) Key Strategic Objective (2–3 yrs)	(1 – 2 yrs.) Strategic Initiatives (1–2 yrs)	(1 year) Action Plans (1 year)	Deadline	Frequency	Target (annual)	units	Output/KPIs	Expense Budget (Marginal increase estimate)	Person tracking	Status
		Enhance member education initiatives and event participation	Organizing member trainings and sensitization plans forums on relevant financial and wellness topics	31st December	3 per year	3	trainings	No. of trainings	2,000,000	CAR	
			Schedule open/member days across sponsors	31st December	Annually	1	open day	No. of open days	1,000,000	Trust Secretary	
			Encourage member education on AVCs and monitor the uptake	31st December	Continuous	20%	% members with AVCs	No. of new AVCs	0	CAR	
			Develop educational content with service providers and engage them to promote events	31st December	Annually	4	member communication	Content developed and promoted	500,000	Trust Secretary	
			Engage sponsors to co-own and promote events, working with the HR department	31st December	Continuous	1	number of engagements	No. of engagements	0	Chairperson/Trust Secretary	

			Encourage BoT members to take up AVCS as they are joining board.	Immediate	Annually	100%	% BoT uptake	No. of AVC forms	0	Trust Secretary	
			Develop member-friendly investment summaries- e.g. individual IRR	31st December	Annually	1	no. of summaries	No. of summaries (messaging)	200,000	Trust Secretary	

Thematic Areas/Pillars	(3 – 5 yrs.) Key Strategic Objective (2–3 yrs)	(1 – 2 yrs.) Strategic Initiatives (1–2 yrs)	(1 year) Action Plans (1 year)	Deadline	Frequency	Target (annual)	units	Output/KPIs	Expense Budget (Marginal increase estimate)	Person tracking	Status
		Implement a system for tracking communication feedback and member engagement	Implement an annual satisfaction survey	31st December	Annually	1	survey report	Report on survey	200,000	Trust Secretary	
			Implement member complaint policy, service charter and feedback log	31st December	Annually	1	board paper	Execution of the policy, charter and log	0	Trust Secretary	
			Undertake survey during the annual AGMs for feedback and address member concerns and share updates.	31st December	Annually	1	board paper	Report/Feedback	0	Trust Secretary	
			Regular update of beneficiaries' form	31st December	Continuous	90%	% members with updated NoBs	Updated beneficiaries form	0	Trust Secretary	

Audit, Risk & Compliance	Enhance audit, compliance, and risk management frameworks to support Fund sustainability	Formalize risk register reviews with committee/board	Update existing risk register and report to board	31st December	Quarterly	1	board paper	Risk register reports	0	Trust Secretary	
			Include risk heatmap in quarterly board packs	End of each Quarter	Quarterly	4	board paper	Heat map reports	0	Trust Secretary	

Thematic Areas/Pillars	(3 – 5 yrs.) Key Strategic Objective (2–3 yrs)	(1 – 2 yrs.) Strategic Initiatives (1–2 yrs)	(1 year) Action Plans (1 year)	Deadline	Frequency	Target (annual)	units	Output/KPIs	Expense Budget (Marginal increase estimate)	Person tracking	Status
			Integrate risk into the strategy meetings and reviews	31st December	Annually	1	board paper	Risk Assessments Strategy Reports	0	Trust Secretary	
			Consider paper on setting up internal audit and implement as per resolution	Within 2 years	Annually	1	board paper	Internal audit reports	0	Trust Secretary	
			Conduct a baseline governance audit and identify improvement areas.	Within 2 years	Annually	1	board paper	Audit reports	500,000	Trust Secretary	
			Evaluation of board and board committees	31st December	Annually	1	board paper	Board Appraisals	500,000	Trust Secretary	
		Review and where appropriate broaden scope of financial audit to improve oversight to go beyond financials	Review scope of financial audit at board level to ensure strategic input included	31st December	Annually	1	board paper	Audit scope	0	AFIC	

			Review the management letter and track closure of pending audit issues	31st March	Annually	1	board paper	Management Letter	0	AFIC	
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Thematic Areas/Pillars	(3 – 5 yrs.) Key Strategic Objective (2–3 yrs)	(1 – 2 yrs.) Strategic Initiatives (1–2 yrs)	(1 year) Action Plans (1 year)	Deadline	Frequency	Target (annual)	units	Output/KPIs	Expense Budget (Marginal increase estimate)	Person tracking	Status
			Expand financial audit ToR to include risk and data audit, where needed	31st December	Annually	1	board paper	Scope of Audit Engagement letter		AFIC	
			Document process for audit firm rotation and annual performance review	31st December	Annually	1	board paper	New Bidding process		AFIC	
		Compliance with the Data Protection Law including registration	Consider the policies and framework for registration with DPO	Within 2 years	end of 2nd year	1	board paper	Data Protection Policy	500,000	CAR	
			Update from Data Protection Officer on handling of member records and execute recommendations made	On need basis	upon regulatory changes	1	board paper	Report	0	CAR	

			Include member education on data protection rights and address question around portal and data protection for members	31st December	Annually	1	board paper	Update to members on data protection	0	CAR	
		Ensure 100% compliance across all laws,	Regular updates on legal and compliance awareness among	On need basis	upon regulatory changes	1	board paper	Reports	0	CAR	

Thematic Areas/Pillars	(3 – 5 yrs.) Key Strategic Objective (2–3 yrs)	(1 – 2 yrs.) Strategic Initiatives (1–2 yrs)	(1 year) Action Plans (1 year)	Deadline	Frequency	Target (annual)	units	Output/KPIs	Expense Budget (Marginal increase estimate)	Person tracking	Status
		regulations and policies	Trustees and secretariat								
			Include summary of applicable laws in board induction toolkit and track in the board compliance log	On need basis	upon regulatory changes	1	board paper	Reports	0	CAR	
			Track compliance checklist covering RBA, KRA, DPA, etc.	End of each Quarter	Quarterly	4	board paper	Compliance report	0	CAR	
			Track and align evolving laws and embed updates in operations and budgeting	On need basis	upon regulatory changes	1	board paper	Reports	0	CAR	
		Ensure data protection, system compliance and ensure business continuity across operations	Receive update/audit the administrator portal for data protection compliance	31st December	Annually	1	board paper	Data Protection Policy	0	CAR	

			Clarify/test Trustee access rights and security of the portal	31st March	Annually	1	board paper	Reports	0	CAR	
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Thematic Areas/Pillars	(3 – 5 yrs.) Key Strategic Objective (2–3 yrs)	(1 – 2 yrs.) Strategic Initiatives (1–2 yrs)	(1 year) Action Plans (1 year)	Deadline	Frequency	Target (annual)	units	Output/KPIs	Expense Budget (Marginal increase estimate)	Person tracking	Status
			Conduct member sensitization on digital access and rights to improve uptake and portal usage	31st December	Annually	70% member usage of admin portal	board paper	Member education Plans	1,000,000	CAR	
			Test and update BCPs across Board and Secretariat	31st December	Annually	1	board paper	BCPs	500,000	CAR	
		Align actuarial/administration inputs with product development	Commission actuarial review for PRMF	every 3 years	end of 3rd year	1	board paper	PRMF review report	1,000,000	AFIC	
			Commission actuarial review for IDD	every 3 years	end of 3rd year	1	board paper	IDD review report	1,000,000	AFIC	
			Link actuarial insights to member communication plan and include IRR analysis in performance packs	every 3 years	end of 3rd year	1	board paper	Member IRR report	1,000,000	CAR	

			Receive regular insights on market developments and products in the market from the actuary/administrator	Quarterly	end of each quarter	1	board paper	Reports	0	AFIC	
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Thematic Areas/Pillars	(3 – 5 yrs.) Key Strategic Objective (2–3 yrs)	(1 – 2 yrs.) Strategic Initiatives (1–2 yrs)	(1 year) Action Plans (1 year)	Deadline	Frequency	Target (annual)	units	Output/KPIs	Expense Budget (Marginal increase estimate)	Person tracking	Status
Governance	Build leadership continuity and governance excellence through strengthened oversight and capacity development	Strengthen Trustee onboarding, induction and succession plan	Review and implement the policy on Trustee term limits and staggering linking to the assessment report and succession plan	31st December	Annually	1	board paper	Report	0	Trust Secretary	
			Review onboarding toolkit to ensure induction process is robust and all information shared with new Trustees/secretariat	31st December	Annually	1	board paper	onboarding toolkit	0	Trust Secretary	
			Conduct at least one in-person onboarding session for new Trustees	Within 1 month of Trustee appointment	As needed	1	board paper	Signed Induction Report	0	Trust Secretary	

		Capacity building and training of the BOT & secretariat with development goals	Training Needs Assessment (TNA) and Actualization of Board Training	31st December	Annually	1	board paper	TNA Post-Training Reports	0	Trust Secretary	
			Attendance of conferences, seminars and other networking sessions	Annual	1 per Trustee and secretariat annually	1	board report	No. of seminars & conferences attended	2,000,000	Board	

Thematic Areas/Pillars	(3 – 5 yrs.) Key Strategic Objective (2–3 yrs)	(1 – 2 yrs.) Strategic Initiatives (1–2 yrs)	(1 year) Action Plans (1 year)	Deadline	Frequency	Target (annual)	units	Output/KPIs	Expense Budget (Marginal increase estimate)	Person tracking	Status
			for Trustees and secretariat					and update the board			
		Institutionalize board, and service provider evaluation and feedback process	Carry out a formal board evaluation tool (include self, peer, chair reviews)	31st December	Annually	1	board paper	Performance Appraisal Reports	0	Trust Secretary	
			Formalize service provider evaluation process	31st December	Every 3 Years (Triennially)	1	board paper	Performance Appraisal Reports	0	Trust Secretary	
			Develop standard evaluation template which link evaluation to contract renewal decisions and align to ToRs and SLAs	31st December	Every 3 Years (Triennially)	1	board paper	Performance Appraisal Reports Performance Evaluation Tools	0	Trust Secretary	
		Improve structure and timeliness of board reporting;	Standardize board reporting templates and define reporting deadlines (from service providers)	7 days before BoT Meetings	Quarterly	1	board paper	Reports	0	Trust Secretary	

			Provide dashboard summaries with highlights and trends	30th June 31st December	Half Yearly	1	board paper	High Level Summaries of the Fund	0	Trust Secretary	
Operations & Service Excellence	Strengthen secretariat effectiveness	Develop and execute HR Plan to support the	Conduct Secretariat capacity and role mapping, and	31st December	Annually	1	board paper	A Succession Plan Policy Career	0	Trust Secretary	

Thematic Areas/Pillars	(3 – 5 yrs.) Key Strategic Objective (2–3 yrs)	(1 – 2 yrs.) Strategic Initiatives (1–2 yrs)	(1 year) Action Plans (1 year)	Deadline	Frequency	Target (annual)	units	Output/KPIs	Expense Budget (Marginal increase estimate)	Person tracking	Status
	and operational efficiency	strategic plan over the five years	have a clear succession plan linked to organizational chart and strategic plan					Mapping Plan HR Policies & Procedures Organogram			
			Performance evaluation	30th June 31st december	Semi Annually	1	board paper	Develop a Performance Evaluation Tool/Criteria Appraisals Develop a robust Compensation & Benefits Policy	0	Trust Secretary	
			Introduce internal workflow tools and operational manual	on need basis	Continuous	1	board paper	Procedures Process maps	500,000	Trust Secretary	
		Optimize expense management to minimize unnecessary spend	Enhance the budgeting process and monitoring of expenses for BoT oversight and accountability	end of each quarter	Quarterly	100%	budget compliance	Annual Budget Financial Reports Budget Tracker	0	Trust Secretary	

			Adherence to the budget and budget variations and/or reallocation need BoT approval.	end of each quarter	Quarterly	100%	budget compliance	Budget Tracker Board Minutes/resolutions	0	Trust Secretary	
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Thematic Areas/Pillars	(3 – 5 yrs.) Key Strategic Objective (2–3 yrs)	(1 – 2 yrs.) Strategic Initiatives (1–2 yrs)	(1 year) Action Plans (1 year)	Deadline	Frequency	Target (annual)	units	Output/KPIs	Expense Budget (Marginal increase estimate)	Person tracking	Status
			Comply with overall and Trustees expense threshold prescribed by RBA.	31st December	Annually	100%	budget compliance	Compliance Reports/Metrics	0	Trust Secretary	
			Timely and seamless disbursement of member claims	1 month after receipt of last contribution	within 1 month	1	board paper	Tracker	0	Trust Secretary	
			Timely and seamless disbursement of service providers payments	As per SLA	As per the credit/contract period	1	board paper	SLA/Tracker	0	Trust Secretary	
		Enhance digital and record management systems	Review current RIMS and admin platform	31st December	Annually	1	board paper	RIMS System Audits reports	0	Trust Secretary	
			Review/audit document management gaps in the current system, and propose changes for consideration	31st December	Annually	1	board paper	RIMS System Audits reports	500,000	Trust Secretary	

			Develop a proposal for electronic data management system	end of year	Within Year 1	1	board paper	New Management System/board proposal	0	Trust Secretary	
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Thematic Areas/Pillars	(3 – 5 yrs.) Key Strategic Objective (2–3 yrs)	(1 – 2 yrs.) Strategic Initiatives (1–2 yrs)	(1 year) Action Plans (1 year)	Deadline	Frequency	Target (annual)	units	Output/KPIs	Expense Budget (Marginal increase estimate)	Person tracking	Status
		Operational Excellence	Explore Administrator System to build the Secretariat Capacity	End of 3rd Year	Every 3 Years	1	board paper	report	0	Trust Secretary	
			Develop Business Continuity Plans (BCPs)	31st December	Annually	1	board paper	BCPs	500,000	Trust Secretary	
			Benchmarking with peers with secretariat functions and identify areas of improvement	End of 3rd Year	Every 3 Years	1	board paper	Benchmarking reports	200,000	Trust Secretary	
			Develop Policy Papers (white papers) to influence the Industry and Regulator	End of 3rd Year	Every 3 Years	1	board paper	white papers	500,000	Trust Secretary	

Appendix II: Risk Management Matrix

	Consequences				
Likelihood	Insignificant	Minor	Moderate	Major	Critical
Rare	LOW Accept the Risk Routine Management	LOW Accept the Risk Routine Management	LOW Accept the Risk Routine Management	MEDIUM Specific Responsibility & Treatment	HIGH Quarterly Senior Management Review
Unlikely	LOW Accept the Risk Routine Management	LOW Accept the Risk Routine Management	MEDIUM Specific Responsibility & Treatment	MEDIUM Specific Responsibility & Treatment	HIGH Quarterly Senior Management Review
Possible	LOW Accept the Risk Routine Management	MEDIUM Specific Responsibility & Treatment	MEDIUM Specific Responsibility & Treatment	HIGH Quarterly Senior Management Review	HIGH Quarterly Senior Management Review
Likely	MEDIUM Specific Responsibility & Treatment	MEDIUM Specific Responsibility & Treatment	HIGH Quarterly Senior Management Review	HIGH Quarterly Senior Management Review	EXTREME Monthly Senior Management Review

Almost Certain	MEDIUM Specific Responsibility & Treatment	MEDIUM Specific Responsibility & Treatment	HIGH Quarterly Senior Management Review	EXTREME Monthly Senior Management Review	EXTREME Monthly Senior Management Review
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Contact Us

For inquiries, feedback, or assistance, please contact:

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